Boreal Capital - Shareholder, Board & Exposure Extract

Monitoring pack: market signal and ownership context

20 June 2007

Mixed signals: monitored intermediary

INTERNAL WATCH

SURFACE FILE

Management states liquidity remains adequate, while market indicators and exposure links warrant a counterparty-level review. This is a monitoring extract, not a failure notice.

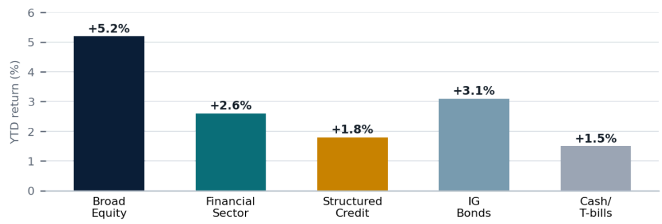
1. Phase 4 market backdrop

Market state - 20 June 2007

Losses and fund stress are appearing in mortgage-linked products, but broader markets still show periods of stability and rebound. The signal remains ambiguous rather than conclusive.

Broad equity	+5.2%
Financial sector	+2.6%
Structured credit	+1.8%
IG bonds	+3.1%
Cash/T-bills	+1.5%

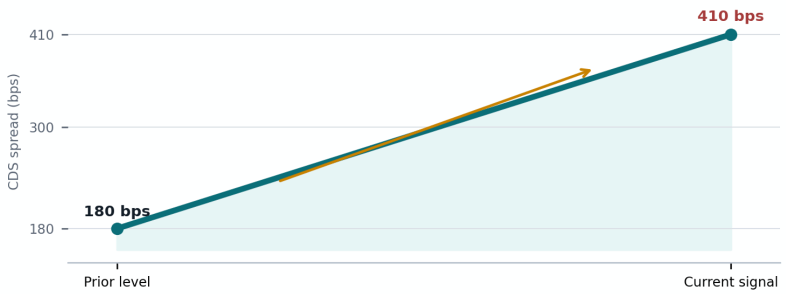
YTD performance tape



2. Market signal tape

Boreal CDS spread movement

Spread widening is a market signal, not a default statement.



Management statement
Liquidity remains adequate according to public management commentary.

Client flow color
Two hedge-fund clients reportedly reduced balances as risk appetite softened.

Monitoring implication
Boreal is tracked as a monitored intermediary with repo dependency and mortgage warehouse exposure.

Document position

Creates institution-specific context without implying that Boreal Capital has failed. Use mixed-signal wording: liquidity adequate, but CDS spread has widened.

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Ownership and governance reference page

20 June 2007

3. Major shareholders

Shareholder	Stake	Note
Founders & executives	8.4%	Partial lock-up
NorthBridge Asset Management	11.2%	Long-only holder
Three Rivers Hedge Fund	6.8%	Reportedly reducing exposure
Employee stock plan	3.1%	Morale concern
Public float	**61.0%**	**Volatile trading**

Ownership concentration view

Flow note

Three Rivers is not the largest holder, but the reported balance reduction is relevant market color.

4. Board and executive monitoring extract

Name	Role	Current concern
Alan Briggs	CEO	Publicly says liquidity remains adequate
Martin Cole	CFO	Negotiating repo terms
Dana Weiss	Head of Mortgage Products	Mortgage warehouse exposure
Elaine Ford	CRO	Requested mark review

Governance read-through

Public messaging
Liquidity described as adequate.

Financing terms
Repoterms under negotiation.

Mark review
CRO requested valuation review.

Compilation note

Shareholder and executive information provides context for market color, not a stand alone credit conclusion.

Boreal Capital - Shareholder, Board & Exposure Extract

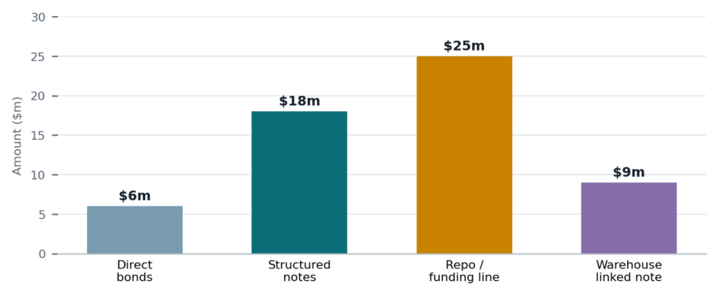
HarborPoint exposure links and monitoring note

20 June 2007

6. HarborPoint exposure to Boreal-linked assets

Exposure item	Amount	Monitoring note
Direct Boreal bond exposure	$6m	Direct credit exposure
Boreal-arranged structured notes	$18m	Product linkage
Repo/funding line through Boreal desk	$25m	Financing dependency
Boreal mortgage warehouse-linked note	$9m	Mortgage warehouse exposure

Exposure stack



Exposure note

Direct bond exposure is limited at $6m. Product, repo and warehouse links create broader monitoring points because stress is appearing unevenly across institutions and asset types.

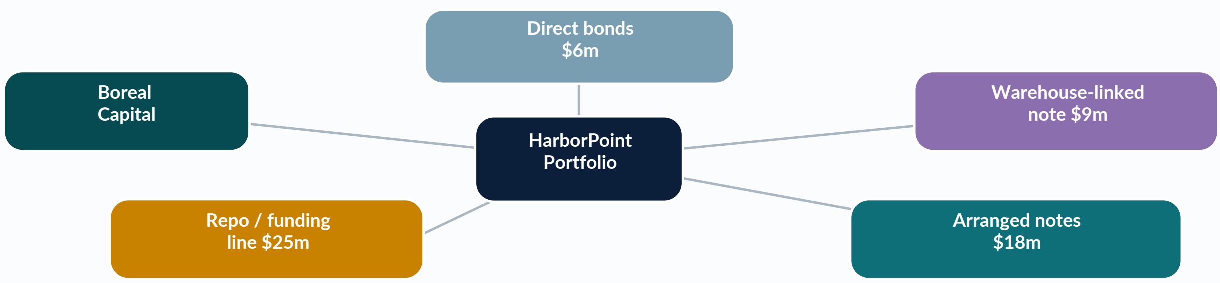
Direct **$6m**

Arrangednotes **$18m**

Repo line **$25m**

Warehouse note **$9m**

7. Exposure link map



Map is conceptual: amounts reflect HarborPoint-linked exposure items listed in the extract.

Mixed-signal observation

Boreal is not described as failed. The relevant signal is a monitored intermediary with widening CDS, repo dependency and exposure links to HarborPoint.